The Used Car Market Game

A Classroom Simulation of Asymmetric Information

Based on Akerlof's "Market for Lemons" (1970)

Overview & Setup

Groups	6 players: 3 Sellers + 3 Buyers
Rounds	3 rounds (each with a different rule variation)
Goal	Maximize your cumulative profit across all 3 rounds
Winner	The single player (buyer or seller) with the highest total profit

The Cars

Each round, the facilitator shuffles 3 Car Cards and deals one privately to each seller. Buyers can see the distribution of cards (2 Peaches, 1 Lemon) but not which seller holds what.

Car Type	Buyer's True Value	Seller's Cost	Max Possible Profit
Peach (Good Car)	$12,000	$10,000	$2,000 split between buyer & seller
Lemon (Bad Car)	$3,000	$1,000	$2,000 split between buyer & seller

How a Round Works

Step 1	**Post Price:** Each seller writes an asking price on their slip and all are revealed simultaneously.
Step 2	**Buyers Choose:** Each buyer picks one seller to approach (or passes). If multiple buyers choose the same seller, the seller selects who to negotiate with.
Step 3	**Negotiate:** The buyer and seller have one minute to agree on a final sale price. The price must be at or above the seller's cost and at or below the buyer's true value. No deal = $0 for both.
Step 4	**Reveal & Record:** After the deal is made, the Car Card is flipped face-up. Both players calculate and record their profit for the round.

Profit Formulas: Seller Profit = Sale Price − Seller's Cost | Buyer Profit = True Value − Sale Price

Note: Buyer profit is negative if they overpaid (e.g. bought a Lemon thinking it was a Peach).

Round Variations

Each round introduces a mechanism to address the information problem. Observe how market behavior changes!

Round	Rule Change	Concept Illustrated
Round 1 (Baseline)	No extra rules — pure information asymmetry	Market failure: watch Peaches exit and Lemons dominate
Round 2 (Certification)	Sellers may pay $500 to display a certified stamp visible to buyers	Signaling (Spence): does costly signaling restore the market?
Round 3 (Inspection)	Buyers may pay $300 to a mechanic to learn the car type before negotiating	Screening: does buyer-side information acquisition help?